

For immediate release

MTN Rwandacell PLC announces Annual Results for the 2023 financial year, showcasing impressive growth across its platform business units.

MTN Rwandacell PLC (MTN Rwanda) has released its audited financial results for the period ended 31 December 2023 through the Rwanda Stock Exchange. The Company sustained commercial momentum leading to a service revenue growth of 11.2% year on year (YoY), driven by strong growth in Data, Fintech, and Enterprise business units.

Data revenues recorded a 21.4% growth YoY attributable to the 14.3% growth in active data customers, as well as the introduction of MTN's 4G network, which delivered a remarkable 506% increase in 4G users who now enjoy improved connectivity and faster data speeds. Data revenue growth was driven by the 26% YoY increase in smartphones connected to our network resulting in a 27% smartphone penetration as well as a 20.8% increase in data traffic. This was driven by the widespread adoption of the Macye Macye device financing program, which enabled more users to enjoy internet access and engage with data-driven services and applications.

This growth in Data revenues not only underscores MTN Rwanda's contribution to closing the digital divide but also reaffirms our belief that everyone deserves the benefits of a modern connected life.

Anchored on one of our Ambition 2025 pillars, to build the largest and most valuable platforms, our subsidiary Mobile Money Rwanda Limited (MoMo Rwanda Ltd) recorded strong subscriber growth, reaching 4.9 million active subscribers. This delivered a solid 30.2% YoY growth for Fintech revenues, mainly due to the 69.2% YoY growth in the adoption of advanced services, now contributing 23% of MoMo revenues.

Additionally, the expansion of MoMoPay merchants from 141k in 2022 to 337k in 2023 underscores MoMo Rwanda's commitment to expanding its ecosystem to drive financial inclusion and foster a cashless economy.

"We are proud of the significant strides MoMo Rwanda Ltd has made in advancing financial inclusion and fostering economic empowerment through our innovative Fintech solutions, contributing to the development of a robust and inclusive digital financial ecosystem in Rwanda. The solid growth in both our subscriber base and MoMo Pay merchants base reflects our unwavering commitment to this cause," commented **Chantal Kagame, Mobile Money Rwanda Limited Chief Executive Officer.**

Also noteworthy, the Enterprise business unit produced solid results with a 15.0% YoY revenue growth across all services including Voice, SMS, Data, and ICT solutions. This was underpinned by a 22.7% growth in the Enterprise subscriber base to 249.6k (December 2022: 203k).

Speaking on these achievements, **Mark Nkurunziza, MTN Rwanda Chief Finance Officer**, highlighted *"We are thrilled to announce our 2023 financial results. The launch of our own 4G network in July 2023 allowed for the revision of our data cost of sales to the wholesale service provider which significantly improved profitability. On the other hand, our EBITDA performance was impacted by the revision of the mobile termination rates to zero to comply with a regulatory directive, which resulted in our Interconnect revenue declining to zero in the last quarter of 2023. This delivered a 6.8% growth in EBITDA, which translated to an EBITDA margin of 46.4%, representing a decline of 1.9pp compared to December 2022 (48.3%). The continued implementation of our expense efficiency program (EEP realised savings of close to Rwf 5 billion from various cost saving initiatives in Network, Mobile Money, Sales & Distribution as well as our Consumer Business units."*

Reflecting on MTN Rwanda's performance and future outlook, **Mapula Bodibe, MTN Rwanda Chief Executive Officer** expressed that *"These results are a testament to the hard work and dedication of our employees and the continued support of our Board of Directors, and stakeholders as well as the continued loyalty of our valued customers. In 2023, we marked a significant milestone of 25 years in Rwanda with the launch of our own 4G network and a groundbreaking live 5G demonstration at the Mobile World Congress summit. Our ongoing investment in network infrastructure will ensure that we are well-prepared for the rollout of 5G and future technologies, enabling us to deliver advanced digital services, high-speed internet, improved quality of service and an enhanced user experience."*

As part of our commitment to creating shared value, MTN Rwanda has driven ESG programs across priority areas including climate action, health, education, as well as diversity and inclusion. Notable initiatives included the ambitious goal of 25,000 trees planted to commemorate 25 years of operations in Rwanda, a generous Rwf 100 million donation to the Ministry of Health in support of expectant mothers for the construction of a c-section maternity block in Rusizi District, and a successful fundraising initiative for white canes in partnership with Rwanda Union of the Blind at our annual Dinner in the Dark event under the Twese Initiative, aimed at promoting diversity and inclusion.

Looking ahead, the challenging operating environment that we face requires an unwavering focus to meet our business objectives and to deliver best-in-class service to our customers. We aim to continue driving innovation and deepening digital and financial inclusion, supported by competitive commercial initiatives and rigorous cost efficiency programmes to ensure sustainable operations, and continued shared value for our stakeholders.

The Company is strategically positioned to provide best-in-class connectivity operations whilst delivering an excellent digital experience to our customers, as we continue to provide leading digital solutions for Rwanda's progress.

For more information, please contact:

MTN PR Desk

Ndabaga Y. Shumbusho

pr2.rw@mtn.com

www.mtn.co.rw

**Together, our growth is inevitable
because we never settle for less.**

